12 Nov 2026 04:57:31 ET | 10 pages

Chailease Holding (5871.TW)

3Q26 Muted Revenue Growth Offset by Lower Opex and Impairments

CITI'S TAKE

Chailease reported 3Q26 attributable profit of NT$5.0bn, -4% qoq/+11% yoy. Gross profit of NT$16.1bn was flat qoq/+2% yoy on the back of volume growth. Group Opex was -2% yoy to NT$4.7bn, driven by lower staff expenses. Impairment charge was +6% qoq/-4% yoy to NT$4.6bn, while group delinquency ratio slightly increased 3bps qoq to 5.16%.

Buy

Price (12 Nov 26 13:30)	NT$102.00
Target price	NT$130.00
Expected share price return	27.5%
Expected dividend yield	5.8%
Expected total return	33.2%
Market Cap	NT$178,056M
	US$5,414M

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Better Interest Spread — Group interest spread widened 8bps qoq to 6.95%, mainly driven by better China spread. China spread improved 19bps qoq, as loan yield increased 8bps qoq and funding cost was 11bps lower qoq. Taiwan loan spread narrowed 7bps qoq, primarily due to 6bps qoq higher funding cost amid Fed rate hike and tightening domestic liquidity.

Muted Loan Growth — Group loans grew by 1% qoq/4% yoy, mainly driven by ASEAN portfolio growth and RMB appreciation. Taiwan portfolio was flat qoq/-1% yoy. China portfolio was +2% qoq/flat yoy in local currency (+3% qoq/+11% yoy in NTD). Management suggested that the China business has achieved positive loan growth in the past three months and they expected positive momentum ahead. ASEAN portfolio was+2% qoq/+10% yoy,

Broadly Stable China Asset Quality, Higher ASEAN Credit Cost — Group delinquency ratio slightly increased 3bps qoq to 5.16%. Taiwan delinquency ratio increased 20bps qoq, while NPL formation improved qoq. China delinquency ratio was stable qoq, but NPL formation slightly picked up qoq per our estimates. Group credit cost was 2.49%, +11bps qoq, mainly due to higher ASEAN credit costs on the back of macro uncertainties especially in Cambodia.

Implications — Despite steady profit growth in 10M26 and stabilizing China asset quality, Chailease shares continued to de-rate this year amid concerns over growth. Management sounded more upbeat on China loan growth outlook at the results briefing, and the impact from auto financing business on Taiwan loan growth should gradually fade. FY26E dividend yield of 6% is attractive, in our view.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	22,016	12.61	-10.2	8.1	1.1	14.8	5.7
2025A	19,240	11.02	-12.6	9.3	1.1	11.8	5.6
2026E	20,599	11.80	7.1	8.6	1.0	12.0	5.8
2027E	22,088	12.65	7.2	8.1	1.0	12.3	6.2
2028E	23,387	13.40	5.9	7.6	0.9	12.3	6.6

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Chailease Holding

Valuation

Our target price for Chailease of NT$130 is based on 1.2x 2026E P/B, using a Gordon Growth model. Our valuation methodology takes into account a sustainable ROE estimate of 12.1%, a cost-of-equity assumption of 11.1%, and a long-term growth rate of 6.0%. We use a blended approach to calculate both risk-free rates and long-term growth rates taking into account local estimates on these parameters in the major markets in which Chailease operates, namely Taiwan, China, and Thailand, and weighted them by asset mix.

Risks

Key downside risks that could impede the Chailease stock from reaching our target price are: [1] slower-than-expected asset growth momentum; [2] asset quality deterioration in different markets; [3] higher operating expenses, which drag bottom-line growth; [4] earlier-than-expected capital-raising that dilutes ROE and BVPS; and [5] ASEAN expansion that is slow in contributing to group earnings. Key upsides risks to our target price include: [1] faster-than-expected asset quality recovery as macro uncertainties ease; [2] higher-than-expected asset growth momentum.

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Appendix A-1

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Chailease Holding (5871.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Zhang



	Date	Rating	Target Price	Closing Price
1	13-Nov-23 04:01:43	1	*197.43	162.17
2	29-Jan-24 14:35:07	1	*192.73	168.28
3	05-Mar-24 05:25:06	1	*183.33	163.11
4	13-May-24 19:55:01	*2	*159.82	147.60
5	03-Sep-24 11:32:54	2	*153.43	140.96
6	26-Sep-24 13:23:12	*1	*168.20	146.10
7	03-Mar-25 06:02:44	1	*139.37	123.99
8	26-Aug-25 11:11:13	1	*132.35	113.73
9	20-Nov-25 03:57:34	1	*112.75	99.51
10	26-Mar-26 22:32:02	1	*117.65	106.86
11	01-Jul-26 11:43:14	1	*127.45	112.25
12	25-Aug-26 12:04:11	1	*130.00	115.00

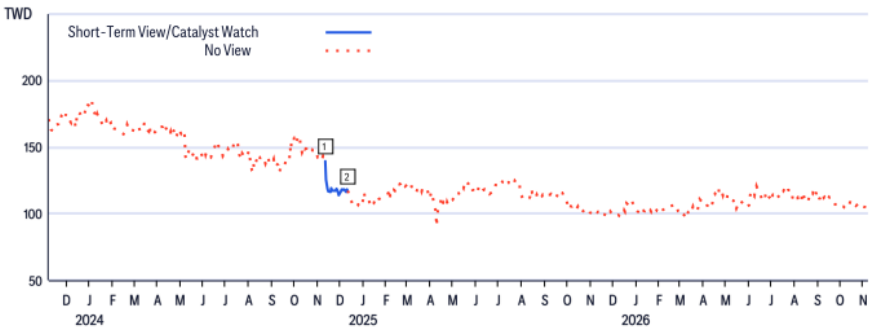
*Indicates Change

Rating/target price changes above reflect Eastern Time

Chailease Holding (5871.TW)

Short-Term View/Catalyst Watch Research

Analyst: Michael Zhang



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Nov-24 02:31:48	Add STV	Downside	30 Days	139.37
2	11-Dec-24 19:58:27	Remove STV	Downside	30 Days	117.26

CW - Catalyst Watch , STV - Short-Term View

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Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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